22STCV35791 22STCV35791

County: los-angeles

Division: Civil Law and Motion

Department: 508

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Case Number: 22STCV35791 Hearing Date: July 10, 2026 Dept: 508

Superior Court

of California

County of Los

Angeles

Department 508

XIANG HAO

CUI, et al.

Plaintiffs,

vs.

DAE YONG

LEE, aka DAVID LEE, et al.

Defendants.

STANFORD

PLAZA ASSOCIATION, INC.,

Nominal Defendant.

Case No.:

22STCV35791 [r/w 25STCV08841]

Hearing Date:

July 10, 2026

Hearing
Time: 10:00 a.m.

[TENTATIVE]
ORDER RE:

MOTION TO BE
RELIEVED AS COUNSEL

Background

On November 14, 2022, Plaintiffs Xiang Hao Cui ("Cui"), for himself and derivatively on behalf Nominal Defendant Stanford Plaza Association, Inc., 800 East Pico Blvd., LLC ("800 East Pico"), 808 East Pico Blvd., LLC ("808 East Pico"), and Stanford Plaza Holdings, LLC filed this action against Defendants Dae Yong Lee aka David Lee, Hellen Lee, Young Sung Cho, William Hong, Stanford Pico Plaza, LLC, and Secured Properties Management Group, Inc. ("SPMG") (collectively, "Defendants") and Nominal Defendant Stanford Plaza Association, Inc. (the "Association").

The complaint alleges six causes of action for (1) removal of directors, (2) breach of fiduciary duty, (3) aiding and abetting breach of fiduciary duty, (4) accounting, (5) declaratory relief, and (6) injunctive relief.

On February 27, 2025, the Court granted Defendants' motion for summary judgment as to Cui only, which summarily dismissed the complaint's first cause of action for removal of directors because Plaintiff Cui, who was the sole plaintiff on that claim, lacked standing. (Minute Order 2/27/25.)

Brian M. Grossman and Robert Paredes of Tesser Grossman LLP (jointly, "Counsel") moves to be relieved as counsel for Plaintiffs Cui, 800 East Pico, 808 East Pico, and Stanford Plaza Holdings LLC (collectively, "Plaintiffs"). Defendants filed both an opposition and an amended opposition. Counsel replied and filed a request to strike or disregard Defendants' amended opposition.

Request for Judicial Notice

The Court grants Plaintiffs' request for judicial notice of Exhibit A.

Discussion

A. Procedural Issues

As a preliminary matter, Defendants filed an amended opposition, in addition to their original opposition. Counsel seeks to strike or request that the Court disregard this, based on California Rules of Court, rule 3.1112. Defendants assert that "Rule 3.1112 enumerates the papers that may be filed in support of or in opposition to a motion; neither an 'amended opposition' nor a 'sur-reply' appears among them. The reply is the final brief the rules contemplate, and it belongs to the moving party. There is no provision permitting the opposing party to file a second opposition, much less one filed after the movant's reply, without first obtaining leave of court." (Obj. to Add. Opp., 2:16-20.) Further, Counsel asserts that "[a] filing is judged by its substance, not its caption. The Amended Papers change one thing of substance: they remove Defendants' reliance on the vacated Sergenian judgment – the precise point the Firm raised for the first time in its Reply – and replace it with a different document and a different number. That is the defining feature of a sur-reply: a brief whose purpose is to answer the reply. Relabeling that response an 'Amended Opposition' does not change what it is." (Obj. to Add. Opp., 3:3-7.) Defendants' amended opposition was filed after Counsel filed their reply papers. Because of the timing, the amended opposition serves as a sur-reply rather than merely correcting an inadvertent error. Accordingly, the Court declines to consider Defendants' amended opposition.

B. Discussion

"The attorney in an action or special proceeding may be changed at any time before or after judgment or final determination … [u]pon the order of the court, upon the application of either client or attorney, after notice from one to the other." ((Code Civ. Proc., § 284, subd. (2).) California Rules of Court, rule 3.1362 prescribes the procedural requirements an attorney must follow when moving to be relieved as counsel.

Rule 1.16(b) of the State Bar Rules of Professional Conduct allows an attorney to permissively withdrawal from representing a client, inter alia, if "the client by other conduct renders it unreasonably difficult for the lawyer to carry out the representation effectively; … the inability to work with co-counsel indicates that the best interests of the client likely will be served by withdrawal; [or] the lawyer believes in good faith, in a proceeding pending before a tribunal, that the tribunal will find the existence of other good cause for withdrawal." When "the duty not to reveal confidences prevent[s] counsel from further disclosure and the court accept[s] the good faith of counsel's representations, the court should find the conflict sufficiently established and permit withdrawal." ((Aceves v. Superior Court (1996) 51 Cal.App.4th 584, 592.)

Counsel contends that there has been a breakdown of the attorney-client relationship, but the nature of which is confidential. Counsel attests that, if the Court wishes, they consent to "an in camera hearing outside the presence of all other parties" and will provide the Court with "specific facts demonstrating good cause." (Decl. in Support, ¶ 2.)

Defendants oppose the instant motions, contending that Cui is intentionally trying to delay the trial. Defendants state that, although Counsel's "motion does not state the reason for the breakdown in their attorney-client relationship, it appears that Plaintiffs' failure to pay [Counsel's] fees is the root of the problem. But Plaintiffs' apparent decision not to pay their counsel is not for lack of money." (Opp., 4:17-20.) Defendants point to Jose Villacreses' declaration, the owner of VIP Unlimited that provides security services to Stanford Plaza, who attests that, after asking Cui when the lawsuit would be resolved, "Mr. Cui laughed and said that he could delay the trial for another year if he wanted." (Villacreses Decl., ¶ 4.)

Defendants further assert that "Plaintiffs would rather withhold payments to their own counsel, while simultaneously claiming to pay Association vendors and utilities. In doing so, Plaintiffs are attempting to force the withdrawal of their counsel, thereby thumbing their nose at our judicial process and attempting to force a continuance of the July 15, 2026 trial. Finally, this is not the first time that Plaintiffs have forced the withdrawal of their counsel and attempted to delay the proceedings in this action. On May 3, 2024, just a month prior to Defendant Stanford Plaza Association, Inc.'s then-pending motion for summary judgment, Plaintiffs' prior counsel, David Sergenian, moved to be relieved as counsel, which the Court granted." (Opp., 5:15-23.)

Finally, Defendants assert that
"[i]f this Court grants the pending motions for withdrawal, then Plaintiffs, who are each corporate entities who cannot proceed pro per, could effectively force a continuance of the July 15 trial simply by delaying their engagement of new counsel until after July 15, 2026. Even assuming Plaintiffs engaged new counsel immediately, which would be their third set of counsel in this case, Plaintiffs' new counsel will no doubt seek a continuance of the July 15 trial, as forewarned in Tesser Grossman's June 3, 2026 ex parte application." (Opp., 6:5-10.)

Counsel responds, asserting that "[t]he
supporting declarations establish that the attorney-client relationship has broken down and that the specific facts are confidential and privileged. That showing is sufficient." (Reply, 2:22-23.) Moreover, Counsel asserts that they do "not ask the Court to 'rubber stamp' the motions on a bare assertion; to the contrary, the Firm has expressly offered to disclose the good-faith basis for withdrawal to the Court in-camera, outside the presence of Defendants, so that the Court can satisfy itself that good cause exists without forcing the Firm to breach its duties to its clients." (Reply, 2:24-27.)

Counsel also asserts that "Defendants'
delay theory rests almost entirely on the Declaration of Jose Villacreses, who recounts a remark Mr. Cui allegedly made to him on May 2, 2026. The declaration cannot bear that weight." (Reply, 3:4-6.) Counsel contends that not only is the declaration hearsay, but it also proves nothing, since Mr. Villacreses "has no personal knowledge of why the attorney-client relationship broke down or of any connection between Mr. Cui's remark and these motions." (Reply, 3:17-19.)

Counsel also refutes Defendants'
contention that Cui's previous attorney ceased representation due to nonpayment,

because Defendants rely on an order that Counsel contends “[t]he supposed proof that Mr. Cui refuses to pay his lawyers is a default judgment that a court has found was improperly obtained and has now erased.” (Reply, 4:17-18.) Moreover, Counsel contends that “Defendants’ central premise – that granting withdrawal will delay trial – is speculation, and the record cuts the other way. Granting a motion to be relieved does not vacate the trial date. The July 15, 2026 trial remains on calendar unless and until the Court orders otherwise.” (Reply, 4:24-26.)

Lastly, Counsel asserts that “Defendants argue that because the LLC plaintiffs cannot appear in propria persona, withdrawal will force a continuance. California law squarely rejects that reasoning. A court may not deny an otherwise proper motion to withdraw simply because the client is an entity that cannot represent itself.” (Reply, 5:12-15.) As Counsel notes, the law provides the contrary: “For the uncooperative corporate client who has not been willing to bring in new counsel, granting of the withdrawal motion will put extreme pressure on it to obtain new counsel of record for should it fail to do so it risks forfeiture of its rights through nonrepresentation.” (Thomas G. Ferruzzo, Inc. v. Superior Court (1980) 104 Cal.App.3d 501, 504.)

Although Defendants’ concerns are reasonable, they are based on speculation. The Court will not deny Counsel’s good-faith motion and force Counsel to continue representation of a client when the attorney-client relationship has broken down. Counsel complied with all the relevant procedural requirements. (See Cal. Rules of Court, rule 3.1362.) Counsel filed MC-051, MC-052, and MC-053 forms, provided sufficient reason for withdrawal, and filed proof of mail and email service.

Accordingly, the Court grants Counsel’s motions to be relieved as counsel.

Conclusion

Based on the foregoing, the motions to be relieved as counsel are GRANTED.

Counsel is ordered to give notice of this Order.

DATED: July 10, 2026

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Hon. Teresa A. Beaudet

Judge, Los Angeles Superior Court